

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS*(Dollar Amounts in Thousands)***NOTE 26—Condensed Financial Information of First Commonwealth Financial Corporation
(parent company only) (continued)****Statements of Cash Flows**

	Years Ended December 31,		
	2002	2001	2000
Operating Activities			
Net income	\$ 43,526	\$50,189	\$47,246
Adjustments to reconcile net income to net cash provided by operating activities:			
Depreciation and amortization	537	1,140	1,263
Decrease (increase) in prepaid income taxes	(397)	431	212
Undistributed equity in subsidiaries	(7,296)	(16,951)	6,044
Other – net	1,270	(592)	97
Net cash provided by operating activities	37,640	34,217	54,862
Investing Activities			
Transactions with securities available for sale:			
Purchases of investment securities	(943)	(123)	-0-
Sales of investment securities	-0-	-0-	-0-
Net change in loans to affiliated parties	42	(61)	1
Purchases of premises and equipment	(33)	(90)	(337)
Changes in receivable from and net investment in subsidiary	436	(792)	(3,861)
Net cash used by investing activities	(498)	(1,066)	(4,197)
Financing Activities			
Issuance of other long-term debt	-0-	-0-	4,000
Repayment of other long-term debt	-0-	-0-	(20,000)
Discount on dividend reinvestment plan purchases	(637)	(612)	(593)
Treasury stock acquired	-0-	-0-	(873)
Treasury stock reissued	4,655	2,499	326
Cash dividends paid	(35,208)	(33,809)	(32,553)
Stock option tax benefit	225	269	75
Net cash used by financing activities	(30,965)	(31,653)	(49,618)
Net increase in cash	6,177	1,498	1,047
Cash at beginning of year	7,667	6,169	5,122
Cash at end of year	\$ 13,844	\$ 7,667	\$ 6,169

NOTE 27—Fair Values of Financial Instruments

Below are various estimated fair values at December 31, 2002 and 2001, as required by Statement of Financial Accounting Standards No. 107 (“FAS No. 107”). Such information, which pertains to the Corporation’s financial instruments, is based on the requirements set forth in FAS No. 107 and does not purport to represent the aggregate net fair value of the Corporation. It is the Corporation’s general practice and intent to hold its financial instruments to maturity, except for certain securities designated as securities available for sale, and not to engage in trading activities. Many of the financial instruments lack an available trading market, as characterized by a willing buyer and seller engaging in an exchange transaction. Therefore, the

Corporation had to use significant estimations and present value calculations to prepare this disclosure.

Changes in the assumptions or methodologies used to estimate fair values may materially affect the estimated amounts. Also, management is concerned that there may not be reasonable comparability between institutions due to the wide range of permitted assumptions and the methodologies in absence of active markets. This lack of uniformity gives rise to a high degree of subjectivity in estimating financial instrument fair values.

The following methods and assumptions were used by the Corporation in estimating financial instrument fair values:

Cash and short-term instruments: For 2002 and 2001 the balance sheet carrying amounts for cash and short-term instruments approximate the estimated fair values of such assets.

Securities: For 2002 and 2001 fair values for securities held to maturity and securities available for sale are based on quoted market prices, if available. If quoted market prices are not available, fair values are based on quoted market prices of comparable instruments. The carrying value of nonmarketable equity securities, such as Federal Home Loan Bank stock, is considered a reasonable estimate of fair value.

Loans receivable: For 2002 the estimated fair values of all loans are estimated by discounting the future cash flows using interest rates currently offered for loans with similar terms to borrowers of similar credit quality. For 2001 fair values of variable rate loans subject to frequent repricing and which entail no significant credit risk are based on carrying values. The estimated fair values of other loans are estimated by discounting the future cash flows using interest rates currently offered for loans with similar terms to borrowers of similar credit quality. For both years the carrying amount of accrued interest is considered a reasonable estimate of fair value.

Off-balance-sheet instruments: Many of the Corporation’s off-balance-sheet instruments, primarily loan commitments and standby letters of credit, are expected to expire without being drawn upon, therefore the commitment amounts do not necessarily represent future cash requirements. Management has determined that due to the uncertainties of cash flows and difficulty in predicting the timing of such cash flows, fair values were not estimated for these instruments for both periods.

Deposit liabilities: For 2002, management estimates that the carrying value of noninterest-bearing demand deposits is a reasonable estimate of fair value. For interest-bearing deposits which are payable on demand, fair value is based on a market valuation of similar deposits. For 2001 for all deposits which are payable on demand at the reporting date other than time deposits, management estimates the carrying